

Week 43 -- Deep Research (Full)

Date: 2026-07-05 (Sunday) | Week: 43 of 52 | Execution session: Monday 2026-07-06

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1. RESTATED RULES

- Universe: U.S.-listed common stock <=\$2B, NYSE/NASDAQ/NYSE American. Long-only, full shares, no options/margin/shorting.
- Exclusions: OTC, ETFs/ETNs/closed-end funds/SPACs, warrants/units/preferreds/ADRs, bankrupt/halted, defence, Israeli-affiliated.
- Risk control: stop on every position; stop-out <=5% of equity; no single name >30%; maintain >=15% cash reserve.
- Sector cap: <=2 positions per GICS sector.
- Partial profit: sell ~1/3 at +30%, ~1/3 at +60%; trail the rest.
- Entry discipline: screener picks start at 2/5 conviction; No-Candidates rule -- hold cash if nothing clears all filters.

2. RESEARCH SCOPE

- Retrieved: 2026-07-05 via live web search; prices as of Thursday 2026-07-02 close (some quotes to 7/3).
- Holdings reviewed: WKC, SHO, TDAY, INN, TILE.
- Screener watchlist (15) evaluated: ATRC (Healthcare); OLPX, NCI, GT (Cons Cyclical); NOMD, HNST, GO (Cons Defensive); FRMM, RSKD (Tech); INO (Healthcare); RMAX/SMA/HPP/ESRT/SILA (Real Estate -- capped). Plus standing 6th-slot watches BLFS and AMLX.
- Context: Lead flipped positive at Week 41 (+0.4%), eroded to ?2.5% on a two-day mega-cap tech rebound, then stabilized at ?2.1% with SHO/INN bouncing off their lows. TWR alpha +3.48% (still positive). Cash at the 15% floor. Mandate: Neutral -- keep defending; the stops did their job this week.

3. CURRENT PORTFOLIO ASSESSMENT

Ticker	Role	Entry	Avg Cost	Price (7/2)	Stop	Conviction	Status
WKC	Energy	4/27	\$26.00	\$33.21	\$29.20	4/5	Keep -- +27.7%; partial alert \$33.80 stays armed (ex-div \$0.23 on 6/30; dividend
SHO	Real Estate	5/18	\$10.20	\$11.38	\$10.90	3/5 ?	Keep -- bounced off the low; at analyst fair value (PT \$11.08)
TDAY	Comm. Services	6/8	\$8.15	\$8.83	\$7.20	4/5 ?	Keep -- new-high leadership;

recovery complete

INN	Real Estate	6/8	\$5.75	\$6.79	\$6.40	3/5	Keep -- +18.1%; FIFA ends 7/19, plan the runner's exit
TILE	Consumer Cyclical	6/15	\$32.10	\$35.67	\$31.00	4/5	Keep -- holding near highs

Sector exposure: Energy 1 · Real Estate 2 (cap) · Comm Svcs 1 · Cons Cyclical 1. 6th slot open to Healthcare / Tech / Industrials / Financial / Cons Defensive.

Conviction changes: SHO 4/5 -> 3/5 (at consensus fair value, momentum faded, 4-week trend of RevPAR-driven upside now priced); TDAY 3/5 -> 4/5 (new highs, AI-licensing thesis compounding, led the book through the pullback).

4. CANDIDATE SET

Ticker	Sector	Thesis	Catalyst (30-60d?)	Confirmation	Liquidity
ATRC	Healthcare	AFib ablation/appendage devices; Q1 +14.3%, FY guide 12-14%, first full profitab	Q2 earnings July 23 (dated)	PTs \$45-55 vs ~\$32 (5 analysts)	\$1.6B [OK]
BLFS	Healthcare	Bioproduction tools; Q1 +25%, GAAP-profitable, Strong Buy	Q2 earnings Aug 6 -- now inside the 30-60d window	PT \$32-32.50 vs \$28.11	\$1.4B [OK]
AMLX	Healthcare	Avexitide Ph3 binary	"Q3" -- still not date-certain	Confirmed	\$1.6B [OK]
OLPX	Cons Cyclical	8.5x volume = Henkel acquiring at \$2.06 cash; trades at deal price	Merger close	Confirmed	Dead arb
NOMD / GO / HNST	Cons Defensive	Momentum (frozen food / grocery / CPG)	No dated catalyst	--	[OK]
RSKD / FRMM	Tech	Momentum	No dated catalyst; FRMM \$80M micro	--	Thin

One-line rejections:

- OLPX -- being acquired at \$2.06 cash (Henkel); price ? deal price -> no upside, pure arb. Reject.
- AMLX -- Q3 readout still undated; the trigger we set (a dated topline) hasn't occurred. Remains a watch.
- NOMD / GO / HNST / RSKD -- momentum without a dated catalyst in window; no edge over holding the winners we own.
- FRMM (\$80M) / NCI (\$28M) -- too small; NCI near-certain float/liquidity fail.
- GT -- rejected Week 40 (Q1 net loss ?\$249M); nothing has changed.
- RMAX / SMA / HPP / ESRT / SILA -- Real Estate (5 of 15 screener slots!), blocked by sector cap.

Why no initiation despite two credible names (ATRC, BLFS): cash is \$110.54 = 15.0%, exactly at the floor -- there is effectively

\$0 deployable without selling something. The funding event we defined (WKC's +30% partial at \$33.80) hasn't fired. Forcing an entry would mean either breaching the reserve (rule violation) or cutting a healthy winner on a week whose whole posture is "defend." ATRC and BLFS go on the ranked watchlist, to be funded by the WKC partial when it triggers.

5. PORTFOLIO ACTIONS

- Keep: WKC, SHO, TDAY, INN, TILE -- all green, all stops clear; the week's fade stabilized without a single stop being hit.
 - Initiate: None (No-Candidates on funding grounds -- see §4). Ranked 6th-slot queue when cash frees: 1) ATRC (dated 7/23 catalyst, profitability inflection), 2) BLFS (Aug-6, quality grower), 3) AMLX (only on a dated topline).
 - Partial (standing): WKC -- the \$33.80 alert stays armed. Post-ex-div it needs a fresh push (~2% above Friday's close); when it fires, sell 1 of 2 shares -> rebuilds cash to ~19.5% and funds the queue above.
 - INN runner plan: FIFA ends July 19 (~10 trading days). Demand is soft industry-wide; the catalyst clock is expiring. Exit the runner into any strength >= ~\$7.00 this week rather than waiting for the tournament's end and the post-event fade. If no strength, the \$6.40 stop (locking +11.3%) manages the downside.
 - Stops: hold all levels. SHO raise trigger (>\$12 -> ~\$11.10) stays armed but is far (\$11.38).
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6. EXACT ORDERS

For the week of 2026-07-06. Platform constraint -- one open order per stock: every holding's protective GTC stop-limit occupies its single order slot, so the two targets below are price ALERTS, not resting orders. Acting on either means: cancel that stock's stop -> place the DAY sell -> re-place the stop if unfilled by close. Do not attempt to arm these alongside the stops.

Alert 1 -- WKC +30% partial:

- Trigger (price alert): WKC >= \$33.80 (+30% from \$26.00)
- If it fires and you choose to act: cancel the WKC stop -> sell 1 of 2 shares (DAY limit ~\$33.80) -> re-place the \$29.20/\$29.05 stop on the remaining share if unfilled.
- Rationale: Rule-mandated +30% partial; frees ~\$34 for the 6th-slot queue (ATRC/BLFS).

Alert 2 -- INN exit-into-strength:

- Trigger (price alert): INN >= \$7.00
- If it fires: cancel the INN stop -> sell 22 (full) DAY limit ~\$7.00 -> (position closed).
- Realistic path: INN is more likely to hit its \$6.40/\$6.30 protective stop (which stays live and locks +11.3%) than to rally to \$7.00 -- the World Cup catalyst is deflating (ends 7/19, demand soft). Leave the stop live; only pursue the \$7.00 alert-and-swap if actively watching an intraday rally. The stop is the default exit.

No buys this week -- 6th-slot queue (ATRC -> BLFS -> AMLX) activates only when the WKC partial or the INN exit/stop frees cash.

7. RISK AND LIQUIDITY CHECKS

Current (no trades yet; equity \$735.48):

Holding	Value	% Equity
INN	\$149.38	20.3%
TILE	\$142.68	19.4%
TDAY	\$141.28	19.2%
SHO	\$125.18	17.0%
WKC	\$66.42	9.0%
Cash	\$110.54	15.0%

- Cash reserve: 15.0% -- at the floor (why no initiation) [OK]
 - Single-name cap: max 20.3% < 30% [OK] · Sector cap: none >2 [OK]
 - If both conditional orders fill (WKC partial + INN exit): cash -> ~\$298 (?40%), fully funding an ATRC or BLFS initiation at proper size with the reserve intact.
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8. MONITORING PLAN

- WKC -- \$33.80 partial alert; dividend raise (15% -> \$0.23) is a quiet bullish tell; stop \$29.20.
 - INN -- \$7.00 exit limit into strength; FIFA final 7/19; stop \$6.40 backstop.
 - SHO -- at fair value with 3/5 conviction; if it breaks \$11 again the stop does its work (locks +6.9%); raise to ~\$11.10 only on >\$12.
 - TDAY -- new leadership; consider a stop raise toward ~\$7.80 next weekend if it holds >\$8.80.
 - TILE -- stop \$31.00; trail on new highs above \$36.
 - ATRC -- top of the 6th-slot queue; earnings 7/23 -- if cash frees this week, enter before the print only with a reduced binary-risk size, otherwise post-print per the cooldown rule.
 - BLFS -- second in queue; Aug-6 catalyst now in window; a dip toward ~\$26-27 improves the entry.
 - AMLX -- actionable only on a dated topline announcement.
 - Regime -- IWM ~3,012, still above its 50-day; rotation tailwind intact but contested.
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9. THESIS REVIEW SUMMARY

WKC -- KEEP | 4/5. +27.7%; the +30% partial stays armed at \$33.80. Q1 blowout, 15% dividend raise, but consensus PT far below price -- partial-then-trail is the right shape. Stop \$29.20.

SHO -- KEEP | 3/5 ?. Quality operator (RevPAR +14.6%, AFFO +28.6%, Hyatt Regency SF sale to Blackstone) but now trading at consensus fair value with faded momentum. Conviction trimmed; the \$10.90 stop (locking +6.9%) is the risk manager. Raise only on >\$12.

TDAY -- KEEP | 4/5 ?. The book's new leader -- highs through a 3-day portfolio fade, +8.3% from entry after a ?6.7% start. AI-licensing + digital-mix inflection thesis compounding. Stop \$7.20; raise candidate next week.

INN -- EXIT INTO STRENGTH | 3/5. +18.1%, but the entire thesis was the World Cup and it ends 7/19 with demand soft industry-wide. Standing \$7.00 exit limit; \$6.40 stop backstop. Don't ride the post-event fade.

TILE -- KEEP | 4/5. Beat-and-raise breakout holding near highs (+11.1%); stop \$31.00 locks a loss-free exit; trail above \$36.

Overall. Week 43 of 52: gap ?2.1%, TWR alpha +3.48%. The week validated the Neutral defense -- the lead eroded on a mega-cap tech rebound, then the book stabilized without a single stop firing, and the two at-risk names bounced. This week adds sequencing: harvest the expiring catalyst (INN) and the rule-mandated partial (WKC) into strength, then redeploy through a ranked queue (ATRC -> BLFS -> AMLX) -- funding new conviction from realized gains, never from the reserve. Ten weeks remain; the alpha is defended first, extended second.

10. CONFIRM CASH AND CONSTRAINTS

- Cash: \$110.54 (15.0%) -- at the floor; no initiation this week [OK]
- Positions: 5 of max 6 [OK] · Sector cap: none >2 [OK] · Single-name <=30%: max 20.3% [OK]
- No-Candidates rule applied on funding grounds with a documented redeploy queue [OK]
- Conditional orders only (WKC partial, INN exit-into-strength) -- both are sells that raise the reserve [OK]
- All rules satisfied.

